UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2018/2019

APRIL EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

THURSDAY, 25 APRIL 2019 TIME: 2.00 PM – 5.00 PM (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONS)

Instructions to Candidates:

Section A: [Total: 40 marks]

This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Section B: [Total: 60 marks]

This section consists of three (3) **optional** questions and **ONLY TWO (2)** questions to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings.

UKFF4024 MULTINATIONAL FINANCE

Section A **[Total: 40 marks]**
(Answer this ONE compulsory question)

Q1. (a) Evaluate **THREE (3)** usefulness of transfer pricing strategies for a MNC. (9 marks)

(b) Laudrup Berhad is a Malaysian home electrical appliances manufacturer. It has only one production plant located in Batu Pahat, Johor. Output produced from this production plant will be sold domestically as well as to all its major export markets such as U.S., China, India, Saudi Arabia and Qatar.

Recently, Laudrup Berhad exports its products worth U.S. dollar (USD) 400,000 to its customer in Boston, U.S., and has allowed the customer a three-month credit term. Laudrup Berhad currently has no cash surplus and its capital structure is still below the industry average debt-to-equity ratio. Assistant to the Chief Finance Officer has obtained the following information:

Spot rate (MYR/USD)	4.1080 – 4.1270
Three-month forward	200 – 270 basis points
Three-month MYR interest rates	4.80% – 6.00%
Three-month USD interest rates	1.75% – 2.50%
Three-month call options on USD:	Premium = 3.75% Strike = MYR4.0000/USD
Three-month put options on USD:	Premium = 3.00% Strike = MYR4.0800/USD

Required:

(i) Calculate the receipt in Malaysian ringgit (MYR) if Laudrup Berhad implements a forward market hedge strategy. (4 marks)

(ii) Develop an options market hedge strategy for Laudrup Berhad. Calculate the receipt in MYR if the future spot rate at the end of three months turns out to be:

(1) MYR3.9800/USD; and

(2) MYR4.2000/USD respectively.

(14 marks)

(iii) Develop a money market hedge strategy for Laudrup Berhad and calculate the receipt in MYR. (11 marks)

(iv) Based on the answers in part (i) to part (iii) above, recommend the most optimal contractual hedging strategy for Laudrup Berhad. (2 marks)

[Total: 40 marks]

Section B **[Total: 60 marks]**
(Answer any TWO out of three questions)

Q1. (a) Shevchenko Berhad is considering the following mutually exclusive projects:
Project V: Establish a new production plant in Ho Chi Minh City, Vietnam. The initial outlay needed is Vietnamese Dong (VND) 44.8 million. Current spot exchange rate is VND5.6000/MYR. This project will generate net cash inflow of VND 16 million per year over the next five years.

Project T: Establish a joint venture in Kaoshiung with a local Taiwanese firm. The initial investment that it needs to contribute is Taiwanese Dollar (TWD) 60 million. This project will generate net cash inflow of TWD 19.6 million per year over the next five years, after deducting the portion that belongs to the local joint venture partner. Current spot exchange rate is TWD7.5000/MYR.

Shevchenko Berhad has a weighted average cost of capital (WACC) of 16% in Malaysia. Inflation rates in Malaysia, Vietnam and Taiwan are expected to be 5%, 7% and 3% per annum respectively over the next five years.

Required:

Apply the foreign cost of capital method to calculate the net present value for each of the projects above in MYR. Decide which project should be undertaken. (15 marks)

(b) Explain **FIVE (5)** cost-related motives that induced multinational enterprises to undertake foreign direct investment (FDI). (15 marks)
[Total: 30 marks]

Q2. (a) Explain when will a margin call arise for a currency futures trader who:

(i) initially short euro futures contracts. (4 marks)

(ii) initially long yen futures contracts. (4 marks)

(b) Zaquan Matyo is a foreign exchange dealer for a bank in Sydney, Australia. He has AUD 2,000,000 (or its MYR equivalent) for a short-term money market investment. He wonders if he should invest in Aussie dollar (AUD) or make a covered interest arbitrage investment in Malaysian ringgit (MYR). He faces the following rates:

Spot exchange rate	MYR2.9880/AUD
3-month forward exchange rate	MYR2.9967/AUD
3-month Australia interest rate	3.00% p.a.
3-month Malaysia interest rate	5.80% p.a.

Section B Q2. (b) (Continued)

Required:

Based on rule of thumb, which country's money market do you recommend Matyo to invest in? Compute the amount of covered interest arbitrage profits in AUD term and in effective annual rate of return. Analyse how market forces will realign MYR/AUD spot and forward exchange rates to restore the Interest Rate Parity (IRP). (22 marks)

[Total: 30 marks]

Q3. (a) Joint venture is one of the strategies to enter into a particular foreign market. Evaluate **SIX (6)** benefits of adopting a joint venture strategy. (12 marks)

(b) Generalize **FIVE (5)** host country's characteristics that will prompt a MNC to use more equity financing for its foreign subsidiary in the host country. (10 marks)

(c) Sancho Berhad imported sports equipments worth euro (EUR) 300,000 from a German manufacturer. Both the exporter and importer agreed to share the exchange rate risk equally if the spot exchange rate at the end of the two-month invoice due date is outside the range of MYR4.7500/EUR to MYR4.8500/EUR. If the spot exchange rate is within the range, then only Sancho Berhad will bear all the risk.

Required:
Assume that the spot exchange rate at the end of two months turns out to be MYR4.9800/EUR, compute Sancho Berhad's payment for the imports in MYR and the German manufacturer's receipt in EUR. (8 marks)

[Total: 30 marks]